## MODEL QUESTIONS

### Part – A

**Multiple choice questions**

1. The modern state is

   a) Laissez-faire state
   b) Aristocratic state
   c) Welfare state
   d) Police state

2. One of the following is NOT a feature of private finance

   a) Balancing of income and expenditure
   b) Secrecy
   c) Saving some part of income
   d) Publicity

3. The tax possesses the following characteristics

   a) Compulsory
   b) No quid pro quo
   c) Failure to pay is offence
   d) All the above

4. Which of the following canons of taxation was not listed by Adam smith?

   a) Canon of equality
   b) Canon of certainty
   c) Canon of convenience
   d) Canon of simplicity

5. Consider the following statements and identify the correct ones.

i. Central government does not have exclusive power to impose tax which is not mentioned in state or concurrent list.

ii. The Constitution also provides for transferring certain tax revenues from union list to states.

   a) i only
   b) ii only
   c) both
   d) none

6. GST is equivalence of

   a) Sales tax
   b) Corporation tax
   c) Income tax
   d) Local tax

7. The direct tax has the following merits except

   a) equity
   b) convenient
   c) certainty
   d) civic consciousness

8. Which of the following is a direct tax?

   a) Excise duty
   b) Income tax
   c) Customs duty
   d) Service tax

9. Which of the following is **not** a tax under Union list?

   a) Personal Income Tax
   b) Corporation Tax
   c) Agricultural Income Tax
   d) Excise duty



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